

Deepinder Goyal,
Founder & CEO, Zomato

Discounts for customers and restaurants, as well as incentives for riders, lead to massive cash burn.

Even at the height of growth, these inherent issues continued to haunt food delivery players. It led the start-up giants to strategic crossroads, forcing them to make bold moves that reaffirm or redefine the nature of their businesses. In particular, to keep riders meaningfully occupied during the hours they log in and to incentivise them through the day, it was inevitable that food delivery marketplaces step outside food to other verticals.

So, now you have Zomato wanting to take control of the restaurant economy with its B2B supply platforms and Swiggy gradually building its local courier delivery and subscription-based daily needs delivery (see *Capturing Everything Food and Hyperlocal*). At the same time, the fear of missing out (FOMO) is driving them into one another's turf. While Zomato is in the process of snapping up 10-minute grocery delivery start-up Blinkit (erstwhile Grofers) to compete with Swiggy's Instamart, Swiggy is foraying into Zomato's stronghold of restaurant discovery and reviews with an investment into table booking app Dineout. And both are working on pay later services to help users order food and clear bills at the end of the month.

SINCE INCEPTION, Bengaluru-based Swiggy has maintained a hyperlocal focus. While it did try its hand now and then in other areas such as private labels in food and a marketplace model for grocery delivery, market realities forced it to commit fully to its original principles. The result was a renewed focus on the "neighbourhood convenience economy", which is something of a new parlance for hyperlocal.

The primary driver of this approach is its express grocery delivery service, Instamart. Launched as an essential-goods-delivery service in the thick of the pandemic in 2020, Swiggy realised its worth in the convenience economy and doubled down on it. Instamart gave the Sriharsha Majety-led company a much deeper understanding of neighbourhood granularities, and helped it build supply chain man-



With restaurants as the fulcrum, Deepinder Goyal-led Zomato aims to create an ecosystem beyond food delivery. B2B supply chain vertical Hyperpure and 10-minute food delivery are steps towards expanding its horizons

agement and just-in-time inventory capabilities.

And the bet is paying off. Instamart, now available across 23 cities, accounted for about 20 per cent of Swiggy's revenues of ₹2,547 crore in FY21. Industry sources put that share at about 25 per cent today. According to top Swiggy executives who spoke on condition of anonymity, the management expects Instamart to outgrow food delivery in the next 18 months. "Our priority and focus are quite visible. We are sponsoring IPL with Swiggy Instamart, not Swiggy. The budget goes under Instamart P&L.